

TNUDF/World Bank-TNCRUDP/Audit/2024-25/01

20 March 2026

Mr. Raghu Kesavan,
Task Team Leader, TNCRUDP
The World Bank,
No.70, Lodi Estate, New Delhi-110 003

Sir,

Sub: World Bank assisted Tamil Nadu Climate Resilient Urban Development Program (TNCRUDP) - Audit Report for Investment Project Financing (IPF) for Technical Assistance (TA) component handled by TNUIFSL for the FY 2024-25 – Furnished - Reg

Ref: Loan No.9625-IN

With reference to the above, please find enclosed Audit report furnished by M/s. Raja & Associates, Chartered Accountants, Chennai for Investment Project Financing (IPF) for Technical Assistance (TA) component handled by TNUIFSL for the period from 06 October 2022 to 31st March 2025.

Yours faithfully,

D. Rajendran
20/3/26

Senior Vice President

TNUIFSL

Encl: As above

Fund Manager of TNUDF

TAMIL NADU URBAN INFRASTRUCTURE FINANCIAL SERVICES LIMITED
TNUIFSL Towers, 2nd Floor, Block H1, 3rd Avenue, Anna Nagar East, Chennai - 600 102.

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N. RAJA & ASSOCIATES
Chartered Accountants

TAMIL NADU URBAN INFRASTRUCTURE
FINANCIAL SERVICES LIMITED, CHENNAI - 600 102.

20 MAR 2026

Flat No. 8, 1st Floor, A-Block, "Veekay Manor"
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Independent Auditor's Report

To:

The Chairman and Managing Director,
TAMILNADU URBAN INFRASTRUCTURE FINANCIAL SERVICES LIMITED
(Fund Manager of Project Development Grant Fund)
TNUIFSL Towers, 2nd Floor, Block H1, 3rd Avenue,
Anna Nagar East, Chennai-600102.

Report on the Audit of the Project Financial Statements

Opinion

We have audited the accompanying special purpose financial statements of Tamil Nadu Climate Resilient Urban Development Program **for the period from 06th October 2022 to 31st March 2025** under World Bank IBRD Loan No.9625-IN and implemented by Tamil Nadu Urban Infrastructure Financial Services Limited (TNUIFSL). These financial statements comprise of the Statement of Sources and Applications of Funds and the Reconciliation of Claims to Total Applications of Funds for the period from **06th October 2022 to 31st March 2025** (provided in Annexure) and notes to these financial statements, including a summary of significant accounting policies (collectively referred to as the "Project Financial Statements").

In our opinion, the aforesaid special purpose Program Financial Statements give a true and fair view of the receipts and disbursements for the year ended on March 31, 2025 and the expenditure of the Program for the year ended on March 31, 2025, in accordance with the financial reporting provisions of Section 5.09 of the General Conditions of the World Bank read with the Operation Agreement dated 04.03.2024 and Loan Agreement dated 05.03.2024 described in Note on Significant Accounting Policies.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing issued by Institute of Chartered Accountants of India (ICAI). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the implementing agency in accordance with the ICAI's Code of Ethics for undertaking this assignment, and we have fulfilled our ethical responsibilities in accordance with ICAI's Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

We draw attention to Note 2 to the PFS describing the basis of accounting. The PFS is prepared to assist the TNUIFSL to meet the financial reporting requirements of the Program's Financing Agreements dated 05.03.2024 in respect of preparation of the Program Financial Statements in a manner to reflect the operations, resources and expenditures related to the Program. As a result, these special purpose financial statements may not be suitable for another purpose. Our opinion is not modified in respect of this matter.





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Responsibilities of Management and those charged with Governance for the Program Financial Statements

The Management of the implementing agency is responsible for the preparation and fair presentation of the Program Financial Statements in accordance with the financial reporting framework described in Note 2 to these financial statements, and for such internal control as management determines is necessary to enable the preparation of Program Financial Statements that are free from material misstatement, whether due to fraud or error.

The Management and those charged with governance are responsible for overseeing the implementing agency's financial reporting process.

Auditor's Responsibilities for the Audit of the Program Financial Statements

Our objectives are to obtain reasonable assurance about whether the Program Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with the Standards of Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Standard of Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the Program Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- evaluate the overall presentation, structure and content of the Program Financial Statements, including the disclosures and whether these financial statements present the Project's operations and underlying transactions and events in a manner that achieves fair presentation in accordance with the financial reporting provisions described in Note 2 to the Program Financial Statements.
- communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
- provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably





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be thought to bear on our independence, and where applicable, related safeguards.

Other Matter

A separate set of entity financial statements has been prepared for PDGF for the year ended March 31, 2025, on which we (N.Raja & Associates) have issued a separate auditor's report to the Governing Body dated 26.06.2025 and expressed an unmodified audit opinion.

Report on Other Legal and Regulatory Requirements

Further to our opinion on the Project Financial Statements we further report that:

- we have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- in our opinion, proper books of accounts have been kept by the implementing agency for Project purposes so far as appears from our examination of those books;
- the Program Financial Statements dealt with by this report is in agreement with the books of accounts;
- the Program funds were utilized for the purposes for which they were provided;
- expenditures, including assets created under the Project, shown in the PFS are eligible for financing under the Program Financing Agreements;
- the Project has an adequate internal financial control system (including IT controls) and such controls were operating effectively as at March 31, 2025 and the Program complies with the provisions on financial management contained in the Program Operations Manual, in all material aspects.
- Procurement has been carried out in line with agreed procedures as detailed in the Operations Manual/Procurement Manual/Project Implementation Plan/Legal Agreements.

For N.Raja & Associates
Chartered Accountants
Firm's Registration No. 003388S



A. AHMED BUSHRA
Partner

Membership No. 225346
UDIN: 26225346BGHSKM2718

Place of Signature: Chennai
Date: 19.03.2026

Tamil Nadu Climate Resilient Urban Development Project (TNCRUDP)

Annexure 1 - Statement of Sources and Uses of Funds

S No	Particulars	Amount in INR					
		For the period from October 06, 2022 to March 31, 2023	Cumulative for the period from October 06, 2022 to March 31, 2023	For the year 2023 - 24	Cumulative up to 2023-24	For the year 2024-25	Cumulative up to 2024-25
1	Opening Balance *	49,66,00,000	49,66,00,000	49,66,00,000	49,66,00,000	49,66,00,000	49,66,00,000
2	Sources of funds						
	Technical Assistance Grant to PDGF from Government of Tamil Nadu	-	-	-	-	-	-
	General funds of PDGF utilised	-	-	66,90,632	66,90,632	5,53,53,023	6,20,43,655
	Total (2)	-	-	66,90,632	66,90,632	5,53,53,023	6,20,43,655
3	Total (1+2)	49,66,00,000	49,66,00,000	50,32,90,632	50,32,90,632	55,19,53,023	55,86,43,655
4	Application of Funds						
	Technical Assistance Grant to consultancy assignments from PDGF	-	-	66,90,632	66,90,632	15,65,68,634	16,32,59,266
	Total (4)	-	-	66,90,632	66,90,632	15,65,68,634	16,32,59,266
5	Closing Balance (3-4)	49,66,00,000	49,66,00,000	49,66,00,000	49,66,00,000	39,53,84,389	39,53,84,389

Notes (Annexure-3) of the Project Financial Statements form an integral part of these Project Financial Statements.

For N. Raja & Associates

Chartered Accountants

Firm Regn. No.003388S


(A. Ahmed Bushra)

Partner

Membership No. 225346

UDIN: 26225346BGHSM2718



Place: Chennai

Date: 19.03.2026

Tamil Nadu Climate Resilient Urban Development Project (TNCRUDP)

Annexure 2 - Reconciliation of Claims to Uses of Funds

Amount in INR

S No	Particulars	Technical Assistance
I	Funds approved by World Bank (JPY in Million)	2243.70
	Funds approved by World Bank (INR in Million)	1236.00
	World Bank's assistance for IPF-TA - PDGF (JPY in Million)	1525.7
	Counterpart funding for IPF-TA - PDGF (JPY in Million)	718.00
	World Bank's assistance for IPF-TA - PDGF (INR in Million)	840.50
	Counterpart funding for IPF-TA - PDGF (INR in Million)	395.50
II	Funds Utilised	(in INR)
1	Amount Disbursed up to FY 2024-25	16,32,59,266
2	Amount eligible for re-imbursement up to 2024-25	11,10,16,301
3	Less: Amount claimed with CAAA up to FY 2024-25	7,17,50,522
4	Balance to be claimed as on 31.03.2025 (2 -3) *	3,92,65,779

* Claimed on 14.05.2025 vide claim No. WA-T-006/2024-25



Tamil Nadu Climate Resilient Urban Development Program assisted by World Bank

Notes forming part of Project Financial Statement for the period from 06th October 2022 to 31st March 2025 for Loan No.9625-IN

1. Background

The World Bank assisted Tamil Nadu Sustainable Urban Development Project (TNSUDP) was taken up to improve urban services in the participating urban local bodies in a financially sustainable manner and to pilot improved urban management practices in select cities, for which administrative sanction was accorded vide Government order G.O.(Ms.)No.5, Municipal Administration and Water Supply Department, dated 13.01.2016. The total outlay of the project is US \$ 600 million equivalent to about Rs.3,831 crore, of which World Bank assistance is US \$ 400 million equivalent to about Rs.2,554 crore.

The Government of Tamil Nadu have accorded in-principle approval vide Government Order first read above to initiate the preparations for seeking Additional Financing assistance under Tamil Nadu Sustainable Urban Development Project with an outlay of USD 450 million [World Bank's additional financing of USD 300 million and counterpart financing from the Government of Tamil Nadu of USD 150 million]. The name of the project has been changed from Tamil Nadu Sustainable Urban Development Project-Additional Financing (TNSUDP-AF) to Tamil Nadu Climate Resilient Urban Development Program (TNCRUDP). Further the Government of Tamil Nadu opted to avail the financial assistance from World Bank in Japanese Yen (JPY).

The total outlay of Tamil Nadu Climate Resilient Urban Development Program is Rs.3,838.65 crore (equivalent to JPY 69.6797 billion), of which World Bank financing is Rs.2,490.38 crore (equivalent to JPY 45.2056 billion) and counterpart funding is Rs.1,348.27 crore (equivalent to JPY 24.4741 billion) from Government of India, Government of Tamil Nadu and other sources.

The following table specifies each category of withdrawal of the proceeds of the Loan from World Bank (including the Disbursement Linked Indicators as applicable) ("Category"), allocation of the amounts of the Loan to each Category and counterpart funding:



Category (including Disbursement Linked Indicator as applicable)	Amount of the Loan allocated under World Bank	
	JPY in billion	INR in crore
I. World Bank Funding		
1. Program for Results (P for R)		
DLI #1. Increase in OSR	4.0780	224.66
DLI #2. Increased access to financial market	0.6027	33.21
DLI #3. Enhanced institutional capacity for climate resilient planning		
	0.9041	49.81
DLI #4. Improved fundamental institutional capacity	2.0541	113.16
DLI #5. Strengthened institutional capacity to manage resources in a sustainable, participatory, and green manner		
	3.0815	169.76
DLI #6. Delivery of Functional Water and sewerage connections	21.0206	1,158.02
DLI #7. Increased operational, climate and financial efficiency of WSS services	8.1980	451.63
DLI #8. Improved city-level climate resilience	2.1021	115.80
Sub-Total for P for R - (A)	42.0412	2,316.05
2. Investment Project Financing (IPF) for Technical Assistance		
Goods, non-consulting services, consulting services, Incremental Operating Costs, and Training and workshops for the TNUIFSL	1.5257	84.05
Goods, non-consulting services, consulting services, Incremental Operating Costs, and Training and workshops for the DMA		
	1.5257	84.05
Sub-Total for IPF-TA - (B)	3.0514	168.10
3. Front End Fees		
Front-end Fee to be paid pursuant to Section 2.03 of the Agreement in accordance with Section 2.05 (b) of the General Conditions- (C)		
	0.1130	6.23
Total World Bank Funding (A)+(B)+(C) = (D)	45.2056	2,490.38
II. Counterpart Funding for P for R		
1. Program for Results (P for R)		
Grant from GoI under AMRUT 2.0 and SBM 2.0	8.5344	470.16
Grant from GoTN under AMRUT 2.0 and SBM 2.0	7.6379	420.77
Grant from CGF	6.1011	336.11
ULB Contribution	0.7647	42.13
Sub-Total for P for R - (E)	23.0381	1,269.17
2. Investment Project Financing (IPF) for Technical Assistance		
Grant from GoTN to PDGF	0.7180	39.55
Grant from GoTN to DMA	0.7180	39.55
Sub-Total for IPF-TA - (F)	1.4360	79.10
Total Counterpart Funding (E) + (F) = (G)	24.4741	1,348.27
Grand Total - (D) + (G)	69.6797	3,838.65



Out of the above, components related to this special purpose project financial statement is given below;

Investment Project Financing (IPF) for Technical Assistance	Amount of the Loan allocated under World Bank	
	JPY in million	INR in million
I. World Bank Funding		
Goods, non-consulting services, consulting services, Incremental Operating Costs, and Training and workshops for the TNUIFSL	1,525.70	840.50
II. Counterpart Funding		
Grant from GoTN to PDGF	718.00	395.50
Total Funds approved by World Bank	2243.70	1236.00

Further, the Government vide GO (Ms) No 106, MA&WS (MA2) Department, dated 02.08.2023 has approved a sum of Rs. 49.66 crores for setting up of RTDAS for the contract awarded to M/s. SSTECH Salem Commercials Pvt. Ltd . The funds have been released by the Government under TNSUDP and the same will be claimed under TNCRUDP. Hence the sum of Rs.49.66 crores has been shown as opening balance in this project financial statement.

2. Accounting Policies: Accounting Policies of Project Development Grant Fund (Category II- Component 2 - Technical Assistance)

a) Basis of Accounting

The financial statements have been prepared under the historical cost convention on an accrual basis and in accordance with applicable accounting standards issued by The Institute of Chartered Accountants of India.

b) Revenue Recognition

Interest earned on the term deposits is recognized on a time proportion basis on the outstanding balances at the applicable rates.

c) Transfer of surplus

The balance in Income and Expenditure Account is transferred every year to the Grant from Government Account.

d) Grant from Government Account

The balance in Grant from Government Account represents net of grants received from the Government of Tamil Nadu, transfer of balance from Income and Expenditure Account, disbursement of technical assistance grant to consultancy assignments & other eligible disbursements, if any.



e) Nature of Operation

The PDGF is technical assistance grant to support consultancy assignments for creation of urban infrastructure, provision of urban facilities and services, up-gradation of the living standards of urban population and improvement in the delivery of urban services to such population. The PDGF will be used to provide grant to carry out consultancy assignments, to operate and manage resource mobilisation programs and to carry out capacity building & development and training.

e) Basis of claiming reimbursement from World Bank

The grant from Project Development Grant Fund (PDGF) for the consultancy works awarded under TNCRUDP is disbursed based on the contract documents executed and based on the stages of the consultancy. On disbursement of the amount to the consultant(s), claims are forwarded on a quarterly basis in the Interim Unaudited Financial Report (IUFR) to Controller of Aid Accounts and Audit (CAAA), Department of Economic Affairs, Ministry of Finance, Government of India. The CAAA on approval will in turn forward the same to the World Bank.

f) Monitoring Mechanism

The grant from PDGF, the technical assistance grant component will be used to support the participating Urban Local Bodies (ULBs) and other entities towards consultancy services. The objectives of the Fund are to finance the costs of technical assistance for strengthening of the planning and implementation capacities of ULBs in Tamil Nadu and the Project Executing Agency. The audit of PDGF is carried out by a firm of Chartered Accountants.

